

QFI Equity Funding in China: A Hedge Fund’s Guide to Leverage, Short Selling, and Derivatives

TL;DR: For QFI hedge funds seeking equity leverage in China, the cheapest route is **CIBM bond repo** at **~1.45%** to generate cash, then buy A-shares outright. For synthetic equity exposure, **CFFEX stock index futures** offer **8–12x embedded leverage** at **~0.05–0.09%** annualized transaction cost (though hedging quotas are required). Onshore **margin financing runs 5.5–8.0%** with a **100% minimum margin ratio** raised in January 2026. **Securities lending via CSF has been effectively suspended since July 2024**, collapsing short-selling balances by **83%**. For short exposure, stock index futures are currently the most practical onshore tool. Offshore **equity TRS** can offer **negative funding costs** (averaging **~9.5%** for CSI 300) when short-selling demand is high. The equity funding landscape is shaped by three binding constraints: the 30% aggregate foreign ownership limit, the 10% single-investor cap, and the T+0 securities / T+1 cash settlement asymmetry.

1. The Equity Funding Landscape: Overview for QFI Hedge Funds

1.1 Why Equity Funding Differs from Bond Funding

While the previous analysis established that CIBM bond repo offers the cheapest onshore funding at **1.45–1.70%**, equity strategies face a fundamentally different cost structure. Unlike bond portfolios, which can be directly pledged as collateral in the interbank repo market, equity holdings **cannot be used as collateral for CIBM repo**—the repo market only accepts CIBM-traded bonds (CGBs, policy bank bonds, and select credit instruments) ([yaowanglaw.com](#)) . Exchange-listed equities are not eligible collateral for interbank repo, though exchange bond repo (opened to foreign investors in December 2025) accepts exchange-traded bonds, not stocks ([SHANGHAI STOCK EXCHANGE](#)) . This structural disconnect means that hedge funds running long equity strategies must either fund their positions through higher-cost channels or maintain a separate bond collateral pool to access cheap repo financing.

The equity funding toolkit available to QFI hedge funds spans four categories: **(1) direct leveraged long positions** via margin financing from onshore brokers; **(2) short-selling infrastructure** through CSF-mediated securities lending; **(3) exchange-traded derivatives** (stock index futures and options) that provide embedded leverage without physical borrowing; and **(4) synthetic cross-border structures** (total return swaps and offshore margin financing) that replicate onshore equity exposure without requiring onshore cash deployment. Each category carries distinct cost, leverage, regulatory, and operational characteristics that must be matched to the underlying strategy.

Funding Category	Primary Instruments	Leverage Mechanism	Key Constraint
Direct Leveraged Long	Margin financing (broker loans)	Borrow RMB against equity collateral	100% min margin (raised Jan 2026) (China Daily)
Short Selling	CSF securities lending	Borrow shares, sell short, return later	Suspended since July 2024 (Securities Finance Times)
Exchange Derivatives	CSI 300/500/1000 futures; ETF options; index options	Embedded leverage via margin (8–12%)	Hedging quota required; hedging purpose only (cliffordchance.com)

Table 1 – continued

Funding Category	Primary Instruments	Leverage Mechanism	Key Constraint
Synthetic/ Cross-Border	Equity TRS; offshore CNH margin; Stock Connect SBL	Contractual or offshore broker leverage	Counterparty risk; regulatory uncertainty (汉 坤律师事务所)

1.2 The January 2026 Margin Ratio Hike: A Material Constraint

On **January 14, 2026**, China’s three stock exchanges (Shanghai, Shenzhen, and Beijing) announced—with CSRC approval—that the **minimum margin ratio for margin trading was raised from 80% to 100%** (China Daily) . This counter-cyclical adjustment came after A-share market turnover surged to a record **RMB 3.7 trillion** (\$530 billion) in a single session, with the margin trading balance hitting an all-time high of **RMB 2.28 trillion** on September 1, 2025, surpassing the previous 2015 peak (Trivium China) . The hike applies only to newly opened margin trading contracts; existing positions and rollovers continue under the previous 80% rule (China Daily) .

The practical impact on leverage is significant. At an 80% minimum margin ratio, a fund with RMB 100 in equity collateral could borrow RMB 125 ($100 / 0.8 = 125$), achieving **1.25x gross exposure**. At the new 100% ratio, the same RMB 100 collateral supports only RMB 100 in borrowed funds, capping leverage at **2.0x gross** (RMB 200 position / RMB 100 collateral)—a meaningful reduction from the previous regime. While the exchanges framed this as a prudent counter-cyclical measure to protect investors and promote long-term stability (China Daily) , hedge funds must now account for lower embedded leverage in their margin-funded equity strategies. The average margin ratio across the market stood at approximately **290%** as of late 2025—well above the 140% danger threshold—suggesting that the regulatory intervention was preemptive rather than reactive (Trivium China) .

2. Long Equity Exposure: Funding the Long Book

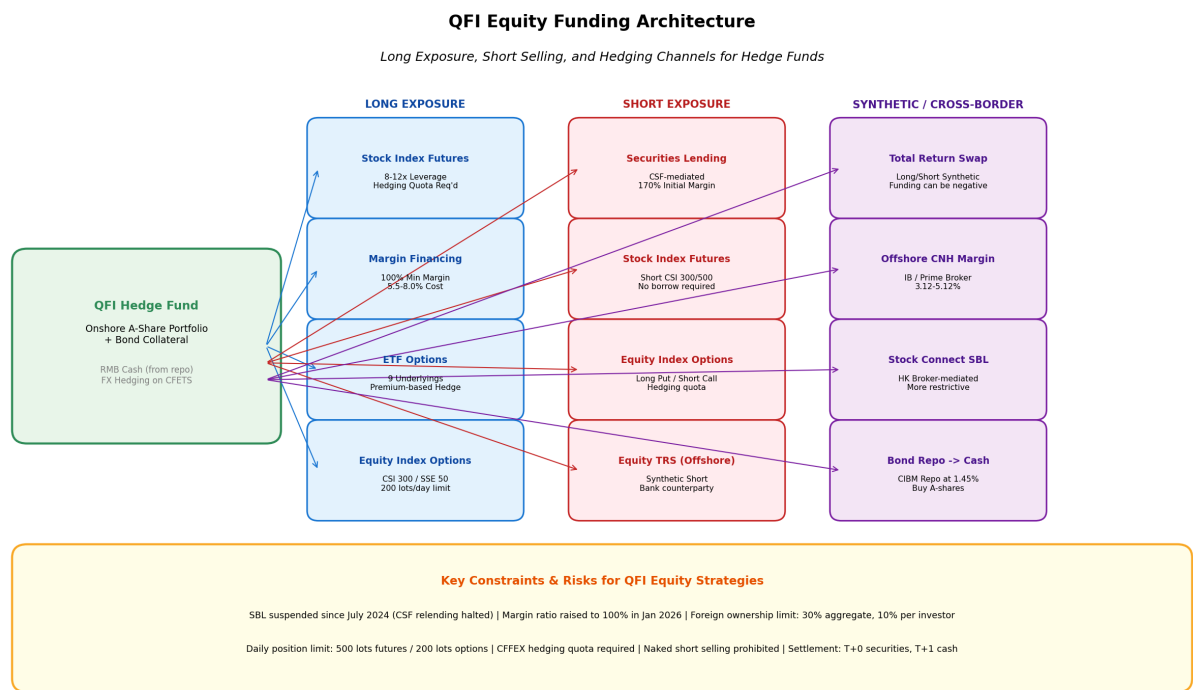


Figure 1: QFI Equity Funding Architecture

2.1 Margin Financing: The Primary Onshore Leverage Channel

Margin financing from onshore securities brokers remains the most direct mechanism for obtaining leveraged long equity exposure. Under this arrangement, the QFI hedge fund deposits cash and eligible securities into a margin account with an onshore broker, which then extends RMB loans against this collateral for the purchase of additional A-shares. The broker charges interest on the borrowed funds, with rates negotiated individually but typically benchmarked against the broker's cost of funds plus a spread.

The all-in cost of onshore margin financing for QFI hedge funds typically ranges from **5.5% to 8.0%** annually. This is broadly competitive with offshore CNH margin rates (3.12–5.12% at Interactive Brokers) ([Interactive Brokers Hong Kong Limited](#)) when accounting for the FX basis and the operational complexity of maintaining offshore positions. Major domestic brokers such as CITIC Securities reported margin financing and securities lending balances of RMB 61.3 billion with an average maintenance margin ratio of **313.84%** as of mid-2025, indicating conservative risk management practices across the industry ([HKEXnews](#)). The market-wide margin financing balance was approximately **RMB 1.85 trillion** as of June 2025, representing a stable and deep funding pool ([HKEXnews](#)).

Eligible collateral for margin financing includes a broad range of exchange-listed securities, with margin ratios varying by asset quality. Cash receives a 100% margin value, while equities are typically haircut at **30–60%** depending on liquidity, volatility, and issuer credit quality. ETFs and convertible bonds generally receive more favorable treatment (20–30% haircut) than individual small-cap stocks (50–60% haircut). The CSRC maintains and periodically updates the list of securities eligible for margin collateral, and brokers may impose additional, more conservative haircuts on top of regulatory minimums.

Parameter	Onshore Margin Financing Terms
All-in cost	5.5–8.0% annually (broker prime rate + 3–8%) (gfgroup.com.hk)
Minimum margin ratio	100% (raised from 80% in Jan 2026; applies to new contracts only) (China Daily)
Maintenance margin	Typically 130% (margin call trigger)
Average market margin ratio	~290% (as of late 2025) (Trivium China)
Market-wide balance	RMB 1.85 trillion (June 2025) (HKEXnews)
Cash collateral haircut	0%
Equity collateral haircut	30–60% (varies by liquidity/volatility)
ETF collateral haircut	20–30%
Settlement	T+0 securities, T+1 cash (ASIFMA)
Broker limit per QFI	Unlimited (post-2020 reform) (ASIFMA)

2.2 Stock Index Futures: The Most Capital-Efficient Long Tool

For hedge funds seeking market-beta exposure rather than individual stock selection, CFFEX stock index futures offer the most capital-efficient mechanism. QFI access to equity index futures has been available since **2011** for hedging purposes, with the September 2022 notice formalizing the application process for equity index options as well ([中国金融期货交易所](#)) . Four index futures contracts are available: **CSI 300 (IF)**, **SSE 50 (IH)**, **CSI 500 (IC)**, and **CSI 1000 (IM)**, covering large-cap, blue-chip, small-cap, and micro-cap segments respectively ([Grokikipedia](#)) .

The leverage embedded in futures contracts is substantial. With a **12% clearing margin** for CSI 300 and SSE 50 futures, and approximately **14% for CSI 500** futures, the implicit leverage ratio ranges from **7.1x to 8.3x** ([Grokikipedia](#)) . A fund deploying RMB 10 million in margin can control RMB 71–83 million in notional index exposure. The all-in cost is minimal: trading fees of approximately **0.0023%** of notional value plus order submission fees of RMB 1 per order, translating to an annualized transaction cost of roughly **0.05–0.09%** for a typical holding period—far below any financing-based leverage channel ([Grokikipedia](#)) .

The critical constraint is that QFIs must obtain a **hedging quota** from CFFEX before trading, and trading is permitted for **hedging purposes only** (cliffordchance.com) . The hedging quota application requires submission of a detailed hedging plan including trading strategies, correlation analysis between futures and underlying spot positions, hedging effectiveness metrics, and investment team overview ([中国金融期货交易所](#)) . Quotas are valid for **12 months** and must be renewed at least ten trading days before expiry ([中国金融期货交易所](#)) . The quota value cannot exceed the QFI’s investment quota (the principal amount remitted to China as approved by SAFE), and the futures position value must not exceed this quota at the end of any trading day (cliffordchance.com) .

Contract	Underlying	Multiplier	Margin Rate	Implied Leverage	Tick Size	Daily Limit
CSI 300 (IF)	CSI 300 Index	RMB 300/ point	~12% (Grokikipedia)	~8.3x	0.2 points	±10%
SSE 50 (IH)	SSE 50 Index	RMB 300/ point	~12% (Grokikipedia)	~8.3x	0.2 points	±10%

Table 3 – continued

Contract	Underlying	Multiplier	Margin Rate	Implied Leverage	Tick Size	Daily Limit
CSI 500 (IC)	CSI 500 Index	RMB 200/ point	~14% (Grokikipedia)	~ 7.1x	0.2 points	±10%
CSI 1000 (IM)	CSI 1000 Index	RMB 200/ point	~12% (Grokikipedia)	~ 8.3x	0.2 points	±10%

Daily position-opening limits apply: **500 lots per contract** for equity index futures, though hedging-purpose positions are exempt (cffex.com) . For a CSI 300 futures contract at 3,800 index points, 500 lots represent notional exposure of RMB 570 million ($500 \times 300 \times 3,800$)—sufficient for most hedge fund operations. The circuit breaker mechanism triggers a 12-minute trading halt at $\pm 5\%$ index movement and potential full-day suspension at $\pm 7\%$ (Grokikipedia) , adding a layer of liquidity risk during volatile sessions.

2.3 ETF Options and Equity Index Options: Asymmetric Exposure

Options provide an alternative leverage mechanism with defined risk. QFIs gained access to **nine ETF options** (four on SZSE-listed ETFs and five on SSE-listed ETFs) starting from **October 2025**, available for hedging purposes (汉坤律师事务所) . These are exchange-traded, European-style options that can be used to construct leveraged long positions (via call purchases) or protective hedges (via put purchases) on broad-market and sector ETFs.

Additionally, QFIs have been permitted to trade **CFFEX equity index options** (CSI 300, CSI 1000, and SSE 50) for hedging since **September 2022** (中国金融期货交易所) . These are also European-style options with a contract multiplier of RMB 100 per index point. Position limits are more restrictive than futures: **200 lots per product per day**, 100 lots per expiration month, and 30 lots per deep out-of-the-money contract (cffex.com) . Hedging-purpose positions are exempt from these limits.

The cost of options-based leverage is the premium paid, which varies with implied volatility, time to expiry, and moneyness. At typical implied volatility levels of **15–25%** for CSI 300 options, an at-the-money call option with 3 months to expiry might cost **2–4%** of notional, providing leveraged upside exposure with maximum loss limited to the premium. For hedge funds, options are most valuable as **tail-risk hedges** for leveraged equity portfolios rather than as primary leverage instruments—the premium cost and theta decay make them expensive for sustained long exposure relative to futures or margin financing.

2.4 The Bond Repo Bridge: Funding Equity Purchases with Bond Collateral

The most cost-effective equity funding strategy for QFI hedge funds combines the CIBM repo market with direct A-share purchases. A fund holding RMB 500 million in CIBM government bonds can execute repo transactions to obtain **RMB 400 million in cash** (at the 80% leverage cap for non-sovereign investors) at a cost of **~1.45–1.70%** (yaowanglaw.com) . This cash can then be deployed to purchase A-shares outright, effectively funding equity exposure at bond-repo rates rather than margin-financing rates. The **3.8–6.3% cost saving** relative to onshore margin financing (5.5–8.0% vs. 1.45–1.70%) creates a powerful economic incentive to maintain a bond collateral pool even for equity-focused strategies.

This “repo bridge” strategy requires careful management of the asset-liability mismatch: the repo funding is short-term (typically overnight to 7 days in the interbank market) while equity positions are longer-duration holdings. The fund must maintain a rolling repo book and monitor DR007 movements closely,

as spikes in the interbank rate can compress or eliminate the carry advantage. FX hedging on CFETS is available to manage currency risk on the equity positions, with hedging limits linked to the value of onshore holdings ([IMF eLibrary](#)) .

3. Short Selling: The Constrained Side of the Market

3.1 The CSF-Mediated Securities Lending Model

China's onshore securities lending infrastructure is structurally distinct from international markets. Rather than operating as a decentralized bilateral market, the **China Securities Finance Corporation (CSF)** acts as a central intermediary that sources securities from lenders (brokerages, mutual funds, insurers, corporate shareholders, and QFIs) and distributes them to securities firms for onward lending to their clients ([PASLA](#)) . The CSF charges an intermediary fee of approximately **60 basis points** on top of the negotiated lending rate between the borrowing broker and the ultimate short seller ([PASLA](#)) .

For QFI hedge funds, the short-selling workflow is: (1) establish a securities lending relationship with an onshore broker; (2) the broker borrows shares from CSF; (3) the fund sells the borrowed shares short in the market; (4) the fund maintains **170% initial margin** with the broker (cash and eligible securities); (5) at position close, the fund buys back shares in the market and returns them through the broker to CSF. **Naked short selling is strictly prohibited**—the borrow must be in place before the short sale ([cliffordchance.com](#)) .

The all-in cost of onshore short selling comprises the CSF lending rate (negotiated, typically **1.9–4.4%** for general collateral) plus the **60bps CSF fee**, yielding **2.5–5.0%** annually ([PASLA](#)) . Special securities (hard-to-borrow stocks) command significantly higher rates, sometimes exceeding **10%** for small-cap or heavily shorted names. The 170% initial margin requirement means that to execute RMB 100 in short sales, the fund must post RMB 170 in collateral—a stringent constraint that limits the economic efficiency of short positions.

3.2 The July 2024 Suspension: A Market-Shaking Intervention

The CSRC's **July 11, 2024** decision to suspend CSF's securities relending business represented the most severe disruption to onshore short selling in the regime's history ([Securities Finance Times](#)) . The regulator described the move as a counter-cyclical measure to stabilize capital markets, raising the securities lending margin ratio from 80% to **100%** (and to **120%** for private securities investment funds, which includes most hedge funds). Existing contracts could be extended but had to be settled by **September 30, 2024** ([Securities Finance Times](#)) .

The market impact was dramatic. The short-selling balance collapsed from **RMB 63.7 billion** in February 2024 to **RMB 10.9 billion** by February 2025—a decline of **83%** ([spglobal.com](#)) . As a percentage of floating market capitalization, short selling fell from 0.10% to just 0.01% ([spglobal.com](#)) . The S&P Global Market Intelligence data shows that **SBL has been suspended in China since July 2024**, with no indication of full restoration as of mid-2026 ([spglobal.com](#)) . PASLA (Pan Asia Securities Lending Association) characterized the measure as the CSRC having “removed any remaining equity leverage from the margin trading market” and expected it to be temporary, though no timeline for restoration has been announced ([Securities Finance Times](#)) .

Metric	Pre-July 2024	Post-July 2024	Change
Short selling balance	RMB 63.7bn (Feb 2024) (spglobal.com)	RMB 10.9bn (Feb 2025) (spglobal.com)	-83%
SBL / Float market cap	0.10% (spglobal.com)	0.01% (spglobal.com)	-90%
CSF relending	Active	Suspended (Securities Finance Times)	N/A
Margin ratio (general)	80%	100% (Securities Finance Times)	+20pp
Margin ratio (private funds)	100%	120% (Securities Finance Times)	+20pp

For QFI hedge funds, this suspension has profound strategic implications. The onshore physical short-selling channel is effectively closed for new positions. Funds must rely on alternative mechanisms—primarily **stock index futures** (short CSI 300/500/1000 contracts) and **equity index options** (long puts)—to construct short or hedged positions. These derivatives-based approaches avoid the borrow requirement entirely but introduce basis risk between the derivative and the underlying equity portfolio.

3.3 Short Exposure via Derivatives: The Practical Workaround

With physical securities lending largely unavailable, CFFEX stock index futures have become the primary tool for obtaining short market exposure. A QFI hedge fund can sell CSI 300, CSI 500, CSI 1000, or SSE 50 futures short without needing to borrow underlying shares, with the same margin requirements (12–14%) and position limits (500 lots/day) as long positions ([cffex.com](#)). The hedging quota framework accommodates both long and short futures positions, provided they are justified as risk management for the fund’s spot holdings ([中国金融期货交易所](#)).

For single-stock short exposure (which index futures cannot replicate), the options market offers partial substitutes. Buying put options on the available ETFs or index options provides downside protection that is economically equivalent to a short position, with maximum loss limited to the premium. However, the position limits (200 lots/day for options) and the availability of only broad-market underlyings constrain the granularity of hedging ([cffex.com](#)).

The **equity total return swap (TRS)** market offers another channel for synthetic short exposure. In an offshore TRS, the hedge fund enters into a contract with a QFI-licensed bank where the fund receives the negative return on a basket of A-shares (i.e., profits when stocks fall) in exchange for paying a financing rate ([汉坤律师事务所](#)). The CSRC’s evolving supervision of TRS transactions—requiring reporting of offshore hedging positions linked to onshore investments—adds compliance complexity but does not prohibit the structure ([Chambers and Partners](#)). TRS funding costs for short positions can be particularly attractive when demand for long TRS is high, as banks are willing to share their securities lending revenue with short TRS counterparties.

4. Cross-Border and Synthetic Structures

4.1 Total Return Swaps: Negative Funding Dynamics

Total return swaps represent the most flexible but also the most structurally complex equity funding mechanism for QFI hedge funds. In a typical equity TRS, the QFI-licensed bank holds a portfolio of A-shares on its proprietary onshore account and enters into an OTC swap with the offshore hedge fund, passing through the total return (price appreciation + dividends) of the underlying shares in exchange for a financing payment from the fund ([汉坤律师事务所](#)). The fund gains synthetic economic exposure to A-shares without holding them directly, while the bank retains legal ownership and earns a financing spread.

The funding cost in an equity TRS is not fixed but depends on market conditions and the bank's inventory dynamics. When demand to short A-shares is high, banks accumulate long inventory that they hedge through the TRS market, sharing their stock lending revenue with TRS counterparties. In these conditions, the TRS receiver (the fund taking long exposure) can **earn a funding premium** rather than paying one ([Simplify](#)). Historical averages for CSI 300 TRS funding costs have been around **-9.5%** (i.e., the bank pays the fund 9.5% annually to take long exposure), though this varies significantly with short-selling demand ([Simplify](#)).

The practical constraints on TRS include: (1) **counterparty concentration risk**, as the fund is exposed to the bank's credit for the duration of the swap; (2) **regulatory uncertainty**, as the CSRC's Draft Derivatives Trading Measures (when finalized) will apply extraterritorial jurisdiction to offshore TRS with onshore underlying assets ([汉坤律师事务所](#)); (3) **reporting requirements**, as onshore exchanges may require brokers to disclose TRS counterparty details; and (4) **position limit alignment**, as TRS positions may count toward futures position limits and foreign ownership thresholds depending on beneficial ownership determinations ([汉坤律师事务所](#)).

4.2 Offshore CNH Margin Financing

For hedge funds that have not established full onshore QFI infrastructure, offshore CNH margin financing through international prime brokers offers a streamlined alternative. Interactive Brokers, for example, quotes CNH margin rates of **3.12–5.12%** (benchmark + 2–4%) for qualified clients ([Interactive Brokers Hong Kong Limited](#)). The fund maintains an offshore account denominated in CNH, purchases A-shares through Stock Connect (which allows trading of all SSE and SZSE-listed constituents within quota limits), and finances the purchase through the broker's margin facility.

The trade-off is higher cost (3.12–5.12% vs. 1.45–1.70% for CIBM repo-funded purchases) and more restrictive access. Stock Connect does not permit margin trading or securities lending ([cliffordchance.com](#)), meaning the fund cannot obtain leverage through the Connect channel itself—the leverage must come entirely from the offshore broker's margin book. Daily SBL through Stock Connect is capped at **1% of portfolio value** (with a 5% limit over 10 trading days), further constraining short-selling capacity ([HKEX](#)). For funds with material China allocations, the cost differential between offshore CNH margin and onshore CIBM repo + outright purchase can exceed **RMB 10–20 million annually** per RMB 500 million in exposure, providing a strong economic case for building onshore funding infrastructure.

5. Cost Architecture: The Full Equity Funding Stack

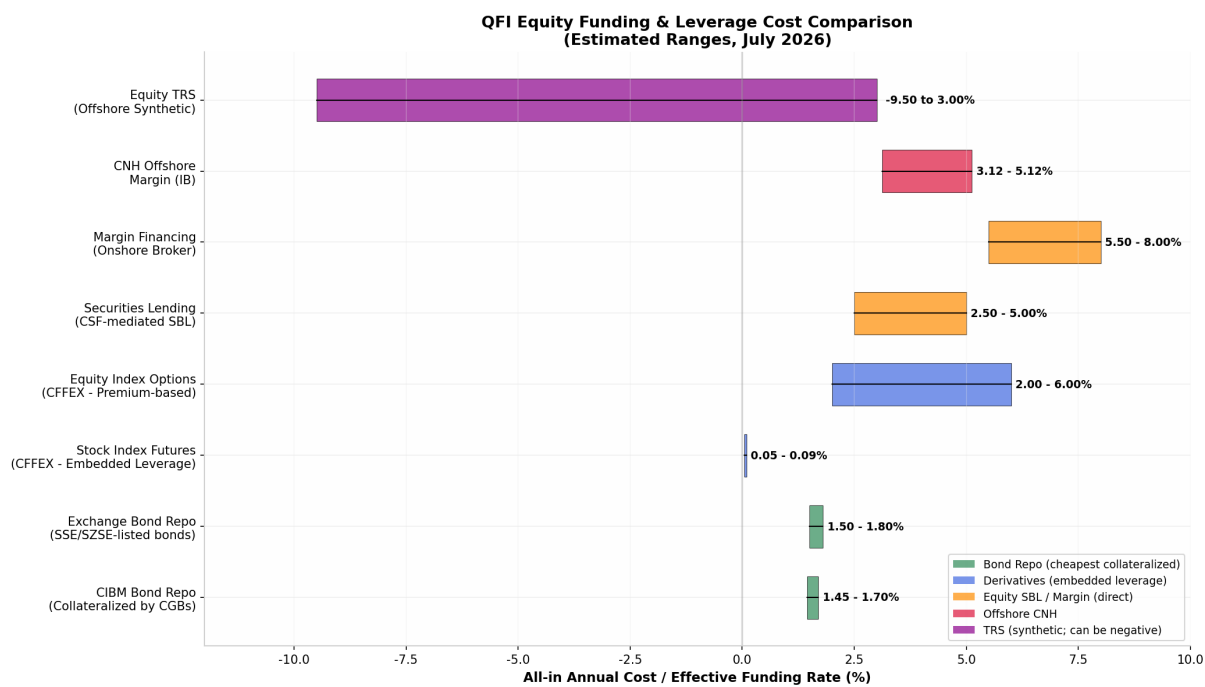


Figure 2: QFI Equity Funding Cost Comparison

5.1 Comparative Cost Analysis

The cost hierarchy for equity-focused strategies is substantially different from bond strategies. While bond repo remains the cheapest funding source, its application to equity positions requires an intermediate step (repo → cash → equity purchase) that introduces operational complexity. For direct equity leverage, the ranking is:

Channel	All-in Cost	Effective Leverage	Best Application
CIBM Bond Repo → A-Share Purchase	1.45–1.70% (yaowanglaw.com)	1.8x (80% cap on bonds)	Core funding for equity strategies with bond collateral
Stock Index Futures (CFFEX)	0.05–0.09% (txn costs only) (Grokikipedia)	7–8x embedded	Market beta exposure, index hedging
ETF/Equity Index Options	2–6% (premium)	Varies (delta-dependent)	Tail risk hedging, asymmetric bets
Securities Lending (CSF)	2.5–5.0% (PASLA)	1.0x short (170% margin)	Currently suspended (Securities Finance Times)
Offshore CNH Margin	3.12–5.12% (Interactive Brokers Hong Kong Limited)	Broker-dependent	Quick deployment without onshore setup
Onshore Margin Financing	5.5–8.0% (gfgroup.com.hk)	2.0x (at 100% margin ratio)	Direct leveraged long A-shares
Equity TRS (Offshore)	–9.5% to +3% (Simplify)	ISDA-negotiated	Synthetic long/short; negative cost possible

5.2 The Optimal Funding Stack by Strategy Type

For **long-only equity strategies** with a benchmark-tracking component, the optimal stack combines CIBM repo (for cash generation at 1.45%) with CFFEX index futures (for market beta at 8x leverage with minimal cost). A fund targeting RMB 1 billion in CSI 300 exposure could deploy RMB 100 million in futures margin (controlling RMB 833 million notional) and use RMB 167 million in repo-generated cash to purchase physical A-shares, achieving full exposure with minimal funding cost.

For **long/short equity strategies**, the current environment—with physical SBL suspended—favors a derivatives-centric approach. Long positions are funded via the repo bridge (CIBM repo → cash → A-shares) or margin financing, while short exposure is obtained through short index futures or long put options. The basis risk between the short futures hedge and the long stock book must be actively managed, as individual stock performance can diverge significantly from index returns.

For **market-neutral strategies**, the TRS channel offers unique economics. When short-selling demand is elevated, entering a long TRS on CSI 300 (receiving total return while paying a negative financing rate) simultaneously with short index futures creates a capital-efficient market-neutral structure where the funding differential itself generates positive carry.

6. Regulatory Constraints and Risk Management

6.1 Foreign Ownership Limits

The **30% aggregate foreign ownership limit** and **10% single-investor limit** for any listed A-share company remain binding constraints on equity strategies ([PASLA](#)). When aggregate foreign ownership reaches 28%, exchanges halt further northbound buying; at 30%, a mandatory sell-down is triggered on a last-in-first-out basis within five trading days ([PASLA](#)). QFI hedge funds must monitor their holdings—and those of related accounts—against these limits in real time. The exchanges publish daily foreign shareholding data, and most custodian banks offer automated alert systems.

For strategies involving index futures, the hedging quota value is capped at the QFI's **investment quota** (the principal remitted to China), with positions required to be adjusted within ten trading days if market movements cause exceedance ([cliffordchance.com](#)). The quota must be renewed annually, and CFFEX conducts ongoing surveillance to ensure compliance with the hedging purpose limitation ([中国金融期货交易所](#)).

6.2 Settlement Risk and Operational Considerations

Chinese equity markets operate on a **T+0 securities, T+1 cash** settlement cycle, creating a one-day settlement gap that exposes sellers to cash delivery risk ([ASIFMA](#)). This is distinct from the DvP (delivery-versus-payment) standard in developed markets and must be factored into leveraged strategies where the timing of cash flows affects margin calculations. The CSRC has indicated plans to move toward T+1 DvP settlement, which would align China with global norms, though no implementation timeline has been announced.

The tiered clearing structure of CFFEX—where the exchange clears for clearing members, who clear for their clients—introduces additional counterparty layers for QFI hedge funds trading derivatives ([中国金融期货交易所](#)). CFFEX collects a **guarantee fund** from clearing members and maintains a **risk reserve** (funded by 20% of exchange fees) as a default waterfall, providing a buffer against clearing

member defaults (中国金融期货交易所) . Each clearing member must maintain a minimum clearing reserve of **RMB 2 million** in cash (中国金融期货交易所) .

Risk Category	Key Parameter	Mitigation
Foreign ownership limit	30% aggregate / 10% per investor (PASLA)	Real-time monitoring; automated alerts
CFFEX hedging quota	Capped at investment quota; 12-month validity (cliffordchance.com)	Plan renewals 10+ days before expiry
Daily position limits	500 lots futures / 200 lots options (cffex.com)	Spread across accounts if needed; hedging exempt
Settlement risk	T+0 securities, T+1 cash (ASIFMA)	Maintain cash buffers; monitor T+1 obligations
SBL suspension risk	CSF relending suspended since July 2024 (Securities Finance Times)	Rely on futures/options for short exposure
Margin call risk	130% maintenance (margin) / 150% warning (SBL) (PASLA)	Maintain buffer above minimum ratios
Circuit breaker	12-min halt at $\pm 5\%$; full-day at $\pm 7\%$ (Grokopedia)	Plan for intraday liquidity disruptions

7. Implementation Roadmap for Equity Strategies

7.1 For Funds Without Existing QFI Status

The pathway to equity funding capability follows the same initial steps as bond strategies: CSRC application (5–10 business days), SAFE registration, custodian selection, and account opening (Chambers and Partners) . Once QFI status is obtained, the incremental steps for equity funding are:

Step	Action	Timeline	Dependency
1	Open securities accounts at CSDC (SSE/SZSE)	1 week	QFI license (SHANGHAI STOCK EXCHANGE)
2	Establish margin financing agreement with onshore broker	1–2 weeks	CSDC account
3	Apply for CFFEX hedging quota (futures + options)	2–4 weeks	CSDC account; investment plan (中国金融期货交易所)
4	Establish SBL relationship with broker (for when market reopens)	1–2 weeks	Broker relationship

Table 7 – continued

Step	Action	Timeline	Dependency
5	Execute repo documentation (GMRA/NAFMII) for cash generation	2–4 weeks	CIBM access (Finadium)
6	First equity trade	Day 1 (post-setup)	All above

7.2 For Funds with Existing QFI Bond Access

Funds that already hold QFI licenses and trade CIBM bonds can expand into equity funding within **3–4 weeks**. The critical path is: (1) opening CSDC securities accounts, (2) applying for CFFEX hedging quotas, and (3) establishing broker relationships for margin financing. The repo infrastructure already in place can be immediately leveraged to generate cash for A-share purchases, providing the most cost-effective equity funding from day one.

7.3 Strategic Recommendations

Given the current market structure—with SBL suspended, margin ratios raised, and derivatives offering the most efficient leverage—QFI hedge funds should prioritize the following architecture:

1. **Maintain a CIBM bond collateral pool** (minimum 20–30% of total AUM) to access repo funding at 1.45–1.70%, using the cash to fund A-share purchases
2. **Obtain CFFEX hedging quotas** for all four equity index futures and the three equity index options products to maximize flexibility in long/short positioning
3. **Use stock index futures as the primary short tool** rather than waiting for SBL restoration, accepting the basis risk as a trade-off for operational reliability
4. **Monitor the TRS market** for negative funding opportunities, particularly when short-selling demand spikes
5. **Build relationships with 2–3 onshore brokers** for margin financing diversification and competitive rate negotiation
6. **Plan for SBL restoration** by maintaining broker SBL agreements, so that physical short selling can resume immediately when CSF relending restarts

The economic case is compelling. A fund with RMB 500 million in CIBM bonds can generate **RMB 400 million in repo funding at 1.6%—a RMB 16–26 million annual saving** compared to funding the same equity exposure through onshore margin financing at 5.5–8.0%. Even after accounting for custodian fees, operational costs, and FX hedging, the net advantage of building integrated onshore bond-repo-plus-equity infrastructure typically exceeds **RMB 10–20 million annually** for funds with RMB 500+ million in China exposure.

This analysis is based on publicly available regulatory documents, exchange notices, and market data as of July 2026. Funding costs, leverage limits, and regulatory requirements are subject to change. The securities lending market remains suspended as of the analysis date; restoration timelines are uncertain. Hedge funds should consult qualified legal counsel and their custodian banks for transaction-specific advice.